

way of dealing with it i.e., badly.

I can understand that it is not easy for you to believe or digest this. You might feel you are doing a good job already by earning money and spending it wisely. But I am going to ask you some very simple, logical questions, which you should answer honestly.

How much did it cost you precisely, to live the last month?

How much were your net family savings last month and a month before that?

If you have a partner in life, ask him or her to write the answers to the same two questions. If you find them difficult to answer or feel that the questions are not important, then I must congratulate you. You are now one step closer to what you need to do to make a plan for your financial freedom. You are now also aware as to what happens with 98% of the people and why they cannot be financially free irrespective of their earnings. It is because they are not in control of what is happening to their financial life. They "seem" to have control but actually have "none". Again, such a simple thing it is – to track your monthly expenses. And simple things happen to be the most ignored, and the most powerful too.

The first and the most important task is to understand where you stand today in the cash flow. This simply means you need to understand your precise cash inflow and outflow every month.

Unless you are an astute planner, you probably never had the time to track your cashflow, or you did some calculations a few months ago, and did not find it worth your time and effort. The latter is useless if you have not utilized the information or data to your benefit. If these calculations are still lying on some rough paper, or somewhere in your laptop, or in a stack of papers you have not looked at for a long time, it is time to take them out and review them because your financial freedom is at stake and it is definitely worth putting in another attempt.

Another situation that may arise is that you have your calculations ready but you are still not in control of your finances. This may be due to the fact that you never linked your calculations to your dreams. May be you did not